

AARON PAYNE

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WHARTON SCHOOL, UNIVERSITY OF PENNSYLVANIA

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Undergraduate Studies

BA Economics (minor Mathematics), Vassar College, 2017

Graduate Studies

Wharton School, University of Pennsylvania, 2020 to present

Thesis Title: "Essays in Public Economics"

Expected Completion Date: May, 2026

Thesis Committee:

Professor Benjamin Lockwood
317 Dinan Hall
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Professor Alex Rees-Jones
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Professor David Abrams
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Teaching and Research Fields

Primary fields: Public Economics

Secondary fields: Normative Economics, Law and Economics, Applied Microeconomics

Teaching Experience

Fall, 2025 American Public Policy Through an Economic Lens (BEPP 2010, Undergraduate)
The Wharton School, TA for Alex Rees-Jones

Fall, 2023; Introductory Economics (BEPP 1000, Undergraduate)
Fall, 2022 *The Wharton School, TA for Gizem Saka*

Research Experience and Other Employment

Summer 2021 Research Assistant for Professor Benjamin Keys
The Wharton School

2017-2020 Research Assistant for Economist Ronel Elul
Federal Reserve Bank of Philadelphia

Professional Activities

2025 NTA 118th Annual Conference (*Scheduled Nov. 2025*)
Normative Economics and Economic Policy Webinar (*Scheduled Nov. 2025*)
IIPF 81st Annual Congress

2024 NTA 117th Annual Conference
Price Theory Summer Camp (University of Chicago)

Honors, Scholarships, and Fellowships

2024 Yrjö Jahnsson Foundation Grant (€10,000)
Carlos and Rosa de la Cruz Fellowship

2022 Winkelman Fellowship
Amy Morse Prize

Publications

“Owner-Occupancy Fraud and Mortgage Performance” (with Ronel Elul and Sebastian Tilson), *Real Estate Economics*, Vol. 51 (September 2023), 1137-1177.

Research Papers

“[Income-Based Fines: Evaluating Rationales for Finnish Speeding Penalties](#)” (with Martti Kaila), *Job Market Paper*

Abstract: We evaluate rationales for income-based speeding fines, as famously applied in Finland, where a \$250 offense for a low-income speeder can cost \$100,000 for the rich. We consider four potential policy goals—externality mitigation, redistribution, equal compliance, and proportional punishment—using linked Finnish administrative data and an original survey. First, using a “job-loss” design, we find that marginal speeding costs *decrease* with offender income, leading us to reject externality mitigation as a rationale. Next, we assess the redistributive rationale. In standard models, indirect taxes aid redistribution only if the taxed action serves as a signal for earnings ability. We recover this signal by differencing speeding behavior with respect to causal effects of income on speeding, estimated from within-individual earnings variation and inheritance shocks. The estimated signal is *negatively* correlated with earnings, implying that Mirrleesian redistribution rationalizes a *lower* fine on the rich. Finally, we use our survey to assess whether preferences for equal compliance or proportional punishment are motivating rationales. Respondents trade off fixed and income-based speeding fine policies, where the latter vary in the induced across-income distribution of behavior and schedule “steepness.” Net of redistribution, respondents are on-average willing to forgo €144 million in government revenue to implement income-based policies. However, these valuations are insensitive to induced behavior or schedule-steepness, ruling out our candidate rationales. Given our findings, speeding fines should incorporate *some* income-dependence but need not feature the extremes in Finland. Residual support for income-dependence suggests that current policy reflects either unmodelled instrumental considerations or direct, non-instrumental preferences.

Works in progress

“Does the IRS ‘Filing Threshold’ Reduce EITC Take-Up? Estimating Missing Mass and Filing Costs”

Abstract: About 1 in 5 eligible households fail to claim the Earned Income Tax Credit (EITC), which constitutes the largest means-tested cash-transfer program in the US.

According to IRS estimates (Plueger, 2009), most of these non-claimants do not file a tax return (a requirement to claim the EITC) and have incomes below the income filing threshold (the threshold above which a household is “required” to file taxes). Drawing on IRS tax-return data, I investigate the contribution of the filing threshold to incomplete EITC take-up by exploiting a 2003 reform that increased the threshold level, theoretically inducing missing mass in the filing distribution. A conceptual framework clarifies how missing mass estimates can be used to measure a lower bound on filing costs for individuals who are marginal to the reform.